May/June 2021 Paper 02

Question 1

1(a) Instruments of exchange

List FOUR instruments of exchange. (4 marks)

Four instruments of exchange used in modern business are:

- Cash in the form of notes and coins, used for everyday small payments.
- Cheques, which are written orders to a bank to pay a stated amount from the drawer's account.
- Debit and credit cards, which allow the holder to pay for goods electronically at the point of sale.
- Electronic transfers, including online banking, mobile money and wire transfers, which move funds directly between accounts.

1(b) How money facilitates trade

Outline TWO ways in which money facilitates trade in the modern economy. (4 marks)

Money serves as a medium of exchange

Money is accepted by everyone in the country in exchange for goods and services, so a buyer and a seller no longer need to find someone who has exactly what they want and who also wants what they have, as in barter. The buyer simply hands over money and the seller releases the goods. This makes trade quicker and easier and allows people to specialise in producing one thing and to use money to buy everything else they need.

Money serves as a measure and store of value

Money provides a common unit in which the prices of all goods and services can be measured, so buyers and sellers can compare values and decide whether a deal is fair. It also stores value over time, which means that producers and workers can be paid today and keep the money to spend in the future. This makes saving, lending, borrowing and long-term planning possible, all of which support modern trade.

1(c) Characteristics of types of businesses

State TWO characteristics of EACH of the following types of businesses. (i) Sole proprietorships (sole traders); (ii) Public limited companies; (iii) Cooperatives. (6 marks)

(c)(i) Sole proprietorships (sole traders)

- Owned and controlled by one person, who provides the capital and makes all the decisions.
- The owner has unlimited liability, which means that personal assets can be used to settle business debts.

(c)(ii) Public limited companies

- Shares are sold to the general public on the stock exchange, so there can be a very large number of shareholders.

- Shareholders have limited liability, meaning they can only lose the amount they invested in shares.

(c)(iii) Cooperatives

- Owned and democratically controlled by the members, who each have one vote regardless of how many shares they hold.
- Profits, called surplus, are shared among members based on how much they have used the cooperative, not on the size of their investment.

1(d) Free market vs planned economy

Explain THREE ways in which businesses in a free market economy operate when compared to businesses in a planned economy. (6 marks)

Ownership of resources

In a free market economy, the resources used in business, such as land, factories and machinery, are owned by private individuals and companies who decide what to produce and how to use these resources. In a planned economy, most resources are owned by the state, and businesses simply carry out the production targets set by the government instead of choosing for themselves.

Decision making and prices

Businesses in a free market economy decide what goods to produce, how much to produce and what price to charge, guided by the demand of customers and the prices in the market. In a planned economy, these decisions are made by central planners, and prices are usually fixed by the government rather than by supply and demand.

Profit motive and competition

In a free market economy, businesses are driven by the desire to make profit, and they compete with each other to attract customers by offering better prices, quality or service. In a planned economy, the profit motive is much weaker because businesses are owned by the state, so there is little or no competition between firms and less pressure to improve products.

Question 2

2(a) Sources of conflict

Identify FOUR potential sources of conflict within the workplace. (4 marks)

- Poor working conditions, such as long hours, unsafe equipment or low wages.
- Disagreements between different departments over budgets, resources or responsibilities.
- Personal differences, such as clashes of personality or unfair treatment by a supervisor.
- Changes in the way the business is run, such as the introduction of new technology or new rules.

2(b) Employee actions during conflict

List FOUR actions that employees may take to gain the upper hand during periods of conflict. (4 marks)

- Going on strike, by stopping work until their demands are met.

- Working to rule, by sticking strictly to the job description and refusing extra duties.
- Picketing, by gathering outside the workplace with placards to highlight the dispute.
- Carrying out a sit-in or go-slow, by remaining at the workplace but doing very little work.

2(c) Conflict resolution strategies

Describe EACH of the following strategies that may be used in the resolution of conflict in the workplace. (i) Grievance procedure; (ii) Mediation; (iii) Arbitration. (6 marks)

(c)(i) Grievance procedure

A grievance procedure is a formal step-by-step process set out by the business that workers must follow when they have a complaint. The worker first reports the complaint to the immediate supervisor, and if it is not settled there, the complaint moves up to higher levels of management, and finally to the trade union if necessary. The procedure makes sure that complaints are dealt with fairly and in writing rather than ignored.

(c)(ii) Mediation

Mediation is a method of conflict resolution in which a neutral third party, called the mediator, listens to both sides of the dispute and tries to help them reach a voluntary agreement. The mediator does not make a binding decision but encourages the workers and management to talk, understand each other's position and find common ground.

(c)(iii) Arbitration

Arbitration is a method of conflict resolution in which the dispute is taken to a neutral third party called an arbitrator, who hears evidence from both sides and then makes a binding decision. The workers and management agree in advance to accept the arbitrator's ruling, which brings the dispute to a clear end.

2(d) Building good management-staff relationships

Explain TWO strategies that may be adopted by management to build good relationships between management and staff in the workplace. (6 marks)

Open and honest communication

Management can hold regular meetings, send out newsletters and use notice boards or staff portals to keep workers informed about the goals, plans and challenges of the business. Workers should also be invited to ask questions, give feedback and share concerns through suggestion boxes, open-door policies and small group meetings. When workers feel that they are kept in the loop and that their views are taken seriously, trust grows and conflicts are less likely to arise.

Fair pay, recognition and training opportunities

Management can build good relationships by paying fair wages and salaries, giving bonuses for good work and saying thank you publicly when staff perform well. Offering training, promotion and clear career paths shows that the business cares about workers' future. When staff feel valued and see real opportunities to grow, they remain loyal to the company and work more cooperatively with management.

Question 3

3(a) Subsistence vs domestic level of production

Distinguish between the 'subsistence level of production' and the 'domestic level of production'. (4 marks)

Subsistence level of production

Subsistence production is the lowest level of production, where a producer makes goods or grows crops only to satisfy the needs of his or her own family, with little or nothing left over to sell. The output is small, the methods are simple and there is hardly any contact with the wider market.

Domestic level of production

Domestic production is a higher level at which a producer makes enough goods or services to satisfy not only personal needs but also the needs of the wider local market within the country. There is a clear surplus that is sold to other consumers and businesses inside the country, but the producer does not yet export goods to overseas markets.

3(b) Characteristics of cottage industries

List THREE characteristics of cottage industries. (3 marks)

- They are run from the home or in a small building close to the home, using mostly family labour.
- They use simple tools, hand methods and small amounts of capital, rather than large factory machines.
- They produce small quantities of goods, often craft or food items, for the local community or tourists.

3(c) Small businesses

(i) State THREE functions of small businesses in rural communities. (3 marks); (ii) State TWO advantages and TWO disadvantages of small businesses. (4 marks)

(c)(i) THREE functions of small businesses in rural communities

- Providing employment for residents who would otherwise have to travel to urban areas to find work.
- Supplying goods and services such as groceries, repairs and personal services to people in the community.
- Earning income for the community and helping to keep money circulating locally rather than flowing out to the cities.

(c)(ii) TWO advantages and TWO disadvantages of small businesses

Advantages

Small businesses are cheap and quick to set up, since they need little capital and few legal formalities. They also offer personal service and can adjust their products quickly to suit the needs of regular customers, which builds strong loyalty.

Disadvantages

Small businesses often find it hard to raise large sums of capital, so they cannot easily expand or buy modern equipment. They also struggle to compete with the lower prices and wide product range of larger firms, and the owner usually has to work very long hours.

3(d) Effects of growth on internal operations

The owner of a small manufacturing business is considering expanding her firm. Explain TWO possible effects the firm's growth may have on the internal operations of the business. (6 marks)

Need for a more formal organisational structure

As the firm grows, the owner can no longer supervise every worker and every task personally. She will have to set up clear departments such as production, sales and accounts, appoint supervisors and managers and prepare an organisation chart that shows the lines of authority. Job descriptions, written rules and proper meetings will become necessary, which adds to administrative work but is needed to keep the business under control.

Greater investment in technology, training and stock control

A larger firm has to handle more orders, more raw materials and more customers, so the owner will need to invest in better machinery, computer systems and stock control software. Workers will need extra training to handle these new tools and to follow new procedures, and the firm will probably need a bigger building or warehouse. These changes raise efficiency but also increase costs and require careful financial planning.

Question 4

4(a) Forms of technology in business

Define EACH of the following forms of technology used in business. (i) E-commerce; (ii) Global positioning system (GPS). (4 marks)

(a)(i) E-commerce

E-commerce, short for electronic commerce, is the buying and selling of goods and services over the internet. Customers visit a website or app, choose products, pay electronically and have the goods delivered or downloaded, instead of going into a physical store.

(a)(ii) Global positioning system (GPS)

The Global Positioning System (GPS) is a satellite-based navigation system that uses signals from orbiting satellites to give a very accurate location, speed and time anywhere on earth. Businesses use GPS to track delivery vehicles, plan the best routes and provide location-based services to customers.

4(b) Activities in supply chain operations

List FOUR activities involved in supply chain operations. (4 marks)

- Sourcing and purchasing of raw materials and supplies from selected suppliers.
- Production or manufacturing, which converts raw materials into finished goods.

- Storage and warehousing of raw materials, work in progress and finished goods.
- Transportation and distribution of finished goods to wholesalers, retailers and final customers.

4(c) Advantages of supply chain operations

Outline THREE advantages of supply chain operations to a firm. (6 marks)

Lower costs and better use of resources

Good supply chain operations make sure that raw materials, labour, machinery and storage space are used efficiently. Bulk buying, careful stock control and fast transport reduce waste and lower the cost of producing each unit. The savings can be used to lower prices, increase profit margins or invest in new products.

Faster delivery and better customer service

When the supply chain is properly managed, raw materials arrive at the factory on time and finished goods reach the customer quickly. The firm can offer shorter delivery times, fewer stock-outs and more reliable service, which keeps customers happy and gives the business an advantage over slower rivals.

Stronger relationships with suppliers and partners

Through ongoing contact with suppliers, transport companies and retailers, the firm builds long-term partnerships based on trust and shared information. These partners are more willing to give favourable prices, accept rush orders and work together to solve problems, which helps the whole supply chain to perform better.

4(d) Logistics and competitiveness

Explain TWO ways in which logistics could improve the competitiveness of a business. (6 marks)

Reducing total operating costs

Effective logistics combines transport, warehousing, packaging and stock control into one carefully planned system. By choosing the cheapest suitable transport mode, grouping shipments together and storing goods close to customers, the business cuts the cost of moving and holding stock. Lower logistics costs allow the firm to charge more competitive prices than rivals while still earning a good profit.

Improving delivery speed and customer satisfaction

A good logistics system uses tracking, forecasting and route planning to make sure that orders are picked, packed and delivered to customers on time. Customers receive their goods quickly and can check the progress of their orders online. Reliable, fast delivery becomes a strong selling point, especially in markets like e-commerce, where customers will easily switch to a competitor that delivers faster.

Question 5

5(a) Social services provided by government

List FOUR social services which are provided by a government for the citizens of its country. (4 marks)

- Public education, including primary, secondary and tertiary schools.
- Public health care, through government hospitals, clinics and health centres.

- Social security and welfare benefits, such as old-age pensions and unemployment assistance.
- Public housing and water and sanitation services, especially for low-income households.

5(b) Responsibilities of government to its citizens

Outline TWO responsibilities of a government to its citizens. (4 marks)

Maintaining law, order and national security

The government has the responsibility to protect citizens by maintaining a police force, a court system and the armed forces. These institutions enforce the laws of the country, settle disputes peacefully and defend the country from outside threats, so that citizens can live and work in safety.

Providing essential public goods and services

The government must supply services that the private sector either cannot provide profitably or that should be available to everyone, such as roads, street lighting, public schools, public hospitals and clean water. Funded by taxes, these services raise the standard of living of all citizens and support the smooth running of the economy.

5(c) Government assistance to local business sector

Describe THREE ways in which governments may assist in the development of the local business sector. (6 marks)

Providing finance and tax incentives

Governments help local businesses by setting up special agencies that offer low-interest loans, grants and tax holidays to small and medium-sized firms. By making finance easier to obtain and reducing the tax burden in the early years, the government encourages people to start new businesses and existing firms to expand and create jobs.

Building infrastructure and providing utilities

The government invests in roads, ports, airports, electricity, water and internet networks that businesses need in order to operate efficiently. Reliable infrastructure lowers business costs, makes it easier to deliver goods and attracts both local and foreign investors to set up operations in the country.

Offering training, advice and protection

Governments fund technical and vocational training centres, run business advisory services through agencies like the small business bureau and pass laws to protect intellectual property and to control unfair competition. These services raise the level of business skills and create a fair, safe environment in which local firms can grow.

5(d) Education and economic growth

Education could be considered one of the great growth industries of developing economies. Explain TWO ways in which education could contribute to economic growth in the Caribbean region. (6 marks)

Higher productivity of the workforce

Better education produces workers who can read, write, calculate and use technology to a higher standard. Skilled workers do their jobs faster and with fewer mistakes, can take on more complex roles in industries

such as tourism, finance and manufacturing, and can adapt easily to new methods. As output per worker rises, businesses become more competitive and the gross domestic product of the country grows steadily.

More entrepreneurship, innovation and export earnings

When citizens are well educated, more of them have the knowledge and confidence to start their own businesses, invent new products and use the internet to reach overseas customers. New businesses and new ideas create jobs, expand exports of goods and services and bring in foreign exchange. The Caribbean region especially benefits from educated entrepreneurs in areas such as music, agro-processing, software development and creative industries.